



Alternative Types of Businesses

Your new business can be more than simply a money-making venture. By adopting a less conventional structure, your start-up can gather support to help those in need or fund causes and projects that you care about.

Looking at your options

If you are starting your business in order to pursue specific social, charitable, or other objectives, a conventional commercial business type might not suit your needs. Other business types include cooperatives, social enterprises, or charities (see below). Enterprises like this are often grouped together under the catch-all description of

nonprofit organizations, but this is a little misleading, since many do attempt to make money. The key difference is that instead of giving out profits to shareholders or withdrawing them yourself, you put the money back into the business to keep it running and to fund any charitable or social cause that it supports. If you follow this route, earning profit for profit's sake will

not be your focus. Rather, the business will be run for the benefit of its members, a community, social, or environmental cause, or to fund charitable activities

Nonprofit organizations are self-governing entities. If you set one up, you will be a founder rather than an owner (although cooperatives, by definition, will have multiple founders). Being a

Find the right fit for your business

A cooperative belongs to its members and is controlled and run by and for them. Since it is not owned by shareholders, all monies stay within the cooperative, to be used as members decide. Clearly, if you wish to set one up, you will need to find like-minded individuals and be happy with democratic decision-making.

A social enterprise might appeal if you seek more control but want to combine commercial activity with “doing good.” Social enterprises buy and sell on the open market but aim to create employment and reinvest profits in the business and local or wider community.

If supporting a cause close to your heart is your prime business objective, a charity may be the best option, but strict laws govern how charities operate; these vary between countries and sometimes states.

9.2%
of all wages and salaries paid
in the US come from the
nonprofit sector

Krisztina Tury, learningtogive.org, 2013



Cooperatives

Cooperatives can take many forms, including farm, retail, or housing, and can also be banking providers (such as credit unions) and workshops.

The business would be jointly and equally owned by you and the rest of the members, with business decisions made collectively.

- **Goal** You must have a clear economic, social, or cultural objective that the business's revenue helps fund.
- **Membership** This will tend to be open and voluntary, with each member having one vote on business decisions.
- **Profits** Surplus profits can be given to members who have a financial stake in the business.